

Calendar Line 1

Case Name: *Dee Shisler v. Shelly Koning*

Case No.: 21CV389381

Defendant's Motion for Leave to File Cross-Complaint

Factual and Procedural Background

On October 5, 2021, plaintiffs Dee Shisler and Isabel Shisler filed a complaint against defendant Shelly Koning ("Defendant"), alleging causes of action for: (1) Elder Financial Abuse (2) Breach of Contract (3) Actual Contract (4) Constructive Fraud (5) Unjust Enrichment – Assumpsit (6) Conversion (7) Intentional Misrepresentation (8) Negligent Misrepresentation (9) Negligence (10) Quiet Title. Plaintiff Isabel Shisler passed away in 2022 and Dee Shisler ("Plaintiffs") continued the action as Isabel's successor-in-interest. Plaintiffs allege that Defendant must return money they lent to her when she was married to Dee and Isabel Shisler's son, Bryan Shisler.¹

Currently before the court is Defendant's motion for leave to file cross-complaint against third-party Bryan Shisler. Defendant filed written opposition.

Legal Standard

A party may file a cross-complaint without leave before a trial date is set. (Code Civ. Proc., § 428.50, subd. (b); *City of Hanford v. Superior Court* (1989) 208 Cal.App.3d 580, 587.) Where leave is required, the decision rests within the Court's discretion. (*Orient Handel v. U.S. Fid. & Guar. Co.* (1987) 192 Cal.App.3d 684, 701.) Undue delay, particularly where the facts were known or reasonably should have been known earlier, is a proper basis for denial. (*People ex rel. Dep't of Public Works v. Los Angeles* (1960) 179 Cal.App.2d 558, 568.)

Analysis

A party against whom a cause of action has been asserted in a complaint may file a cross-complaint against another person alleged to be liable if the cause of action asserted in the cross-complaint arises out of the same transaction or occurrence as the cause of action in the original complaint. (Code Civ. Proc., § 428.10, subd. (b).) A party can file a cross-complaint against parties other than the plaintiff without leave of court at any time before the court has set a date for trial. (Code Civ. Proc., § 428.50, subd. (b); *City of Hanford v. Superior Court* (1989) 208 Cal.App.3d 580, 587.)

¹ In their 2021 Complaint, Plaintiffs also asserted claims against Defendant regarding a property in San Jose, CA where Plaintiffs previously resided. In her Motion for Leave to File Cross-Complaint, Defendant alleges that proposed Cross-Defendant also bears liability for loans but does not address Plaintiffs' claims regarding real property. Plaintiffs' Opposition papers do not mention Plaintiffs' claims about real property and consequently the court will not address the relevance of those claims to the cross-complaint matter at issue here.

Defendant contends the delay in seeking to file the cross-complaint was due to Plaintiffs' shifting litigation posture, prior related actions, and substitutions of counsel. Defendant further asserts she proceeded once it became clear current counsel was actively prosecuting the matter.

The Court is not persuaded. The factual basis for the proposed cross-complaint—arising from the underlying family and financial relationships at issue in this case—was known or readily ascertainable at the inception of the action in 2021. Defendant filed her Answer years ago, yet did not seek leave to assert claims against Bryan Shisler until December 2025. In the intervening period, the parties have engaged in discovery and multiple case management conferences, with the case now pending for more than four years.

Defendant has not provided a satisfactory justification for the extensive delay in seeking leave. Uncertainty regarding Plaintiffs' litigation decisions does not excuse failure to timely assert known claims.

Further, this action is now approaching the five-year mandatory dismissal period under Code of Civil Procedure section 583.310. Allowing the late filing of a new cross-complaint at this stage would expand the scope of the litigation and create a substantial risk of further delay inconsistent with the statutory mandate for timely disposition.

On balance, the delay, lack of justification, and prejudice to orderly case management warrant denial.

The motion for leave to file cross-complaint is DENIED.

The Court will prepare the order.

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Non-party Republic of Palau’s Motion to Intervene and Stay Discovery Deadlines “for the limited purpose of protecting its interests in protecting particularly sensitive documents related to its Program from discovery.”

The Court has read and considered the moving papers, declarations, and opposition thereto. The Court finds that the moving party has not established a sufficient basis for intervention under Code of Civil Procedure section 387. The Republic has not demonstrated a direct and immediate interest in the subject matter of this litigation warranting intervention, nor has it shown that disposition of the action will impair its ability to protect a legally cognizable interest.

The motion is unsupported by competent evidence. No declaration from an authorized official of the Republic of Palau has been submitted establishing the nature of the asserted sovereign interest, the specific documents at issue, the basis for any claimed confidentiality protections, or why existing procedures are inadequate to protect any legitimate interests.

The Court has previously determined that confidentiality concerns relating to discovery may be addressed through an appropriate protective order. The Republic of Palau has not demonstrated why such measures are insufficient.

The Court also notes that this action involves a dispute pending between private litigants in California and has been pending since February 2024. The Court granted Plaintiff’s motion to compel discovery on November 14, 2025. The instant motion was filed only after the Court ordered compliance and appears directed principally toward forestalling discovery obligations already adjudicated by the Court. The Court subsequently denied Defendant’s Motion to Stay Discovery on March 27, 2026.

To the extent the current motion relies upon generalized assertions of foreign sovereign interests, the Court finds such assertions insufficient on the present record to warrant intervention or a stay of discovery in this action, particularly where the discovery concerns appear related to commercial dealings implicated in litigation between private parties in California. Principles of international comity do not divest this Court of its authority to manage discovery and adjudicate disputes properly before it.

The request for intervention and stay of discovery is DENIED.

Plaintiff to prepare the final proposed order, accompanied by the necessary Forms EFS-020, within 7 days of the date of the hearing.